strategies I describe here and make up your own mind about their usefulness, and, I hope, find ways to improve them and adapt to your own desired level of risk and return. Using someone else's method out of the box is rarely a good idea and you need to make the strategies your own in order to really know and trust them.

Even after you reach that stage, you have most of the work ahead of you. Trading these strategies on a daily basis is a lot tougher than most people expect, not least from a psychological point of view. Add the task of finding investors, launching a fund or managed accounts set-up, running the business side, reporting, mid-office, and so on, and you soon realise that this is not a get-rich-quick scheme. It is certainly a highly rewarding business to be in if you are good at what you do, but that does not mean it is either easy or quick.

So despite the stated fact that this book is essentially about a single strategy, I will demonstrate that this one strategy is sufficient to replicate the top trend-following hedge funds of the world, when you fully understand it.

Why Write a Book?

Practically no managed futures funds will reveal their trading rules and they tend to treat their proprietary strategy as if they were blueprints for nuclear weapons. They do so for good reason but not necessarily for the reason most people would assume. The most important rationale for the whole secrecy business is likely tied to marketing, and the perception of a fund manager possessing the secret formula to make gold out of stone will certainly help to sell the fund as a unique opportunity. The fact of the matter is that although most professional trend followers have their proprietary tweaks, the core strategies used don't differ very much in this business. That might sound like an odd statement, since I have obviously not been privy to the source code of all the managed futures funds out there, and because they sometimes show quite different return profiles, it would seem as if they are doing very different things. However, by using very simple methods, one can replicate very closely the returns of many CTA funds and by tweaking the time horizons, risk factor, and investment universe, one can replicate most of them.

This is not to say that these funds are not good or that they don't have their own valuable proprietary algorithms. The point is merely that the specific tweaks used by each shop are only a small factor and that the bulk of the